Mom's Finances in Plain Words

The income, account and insurance terms you'll meet, and what to write down about each.

Annuity, cash value, jointly owned, out of pocket. Mom's paperwork has its own vocabulary, and nobody hands you the glossary. These are eighteen words you're likely to meet while you sort it, each explained from a public source, with what to write down when it comes up.

The explanations are for following the paperwork and the conversation. They aren't for working out what Mom has, or what any of it means for Medicaid.

What comes in, and what she owns

Income

Money that arrives regularly. The federal long-term care site's list includes Social Security payments, veterans benefits, pensions, wages, interest from bank accounts and certificates of deposit, and dividends from stocks and bonds. [1]

WRITE DOWN Each source, who pays it, how often, and the amount as the statement or letter shows it.

Assets (what she owns)

The Consumer Financial Protection Bureau's list includes checking and savings accounts, cash, real estate, cars and other vehicles, insurance policies, stocks and bonds, and items of value. [2]

WRITE DOWN Each item, the company or place, and where the paper is. No total.

Debts and regular payments

What she owes and what she pays out regularly. The Bureau suggests listing them with the name of the institution that issued each loan or credit card. [3] [4]

WRITE DOWN Who is paid, how much, how often, and whether it is withdrawn automatically.

Home equity

The fair market value of a home, meaning what it could sell for on the open market, minus any debts secured by it, such as a mortgage or a home equity loan. [1]

WRITE DOWN The names on the deed, and any mortgage or loan against the house. Don't work out a value yourself.

Insurance

Long-term care insurance

An insurance policy designed to offer financial support to pay for long-term care services. Policies vary widely. [5] [6]

WRITE DOWN The company, where the policy is, and what the insurer says when you call to ask whether the care she needs is covered.

Life insurance and cash value

Life insurance policies are on the Family Caregiver Alliance's list of papers to locate. Whether Mom's policy carries a cash value, and what that figure is today, is a question for the insurance company. [7]

WRITE DOWN The company, who owns the policy, and where it is kept.

Annuity

A contract in which a person gives an insurance company money that is later distributed back to the person over time. [5]

WRITE DOWN The company, whose name is on the contract, and where the paperwork is.

Whose name is on it

Joint account (jointly owned)

The Consumer Financial Protection Bureau describes it as an account where the money is jointly owned and the joint account holder automatically gets the money when the other owner dies. [8] [2]

WRITE DOWN Every name on the statement, exactly as printed. The Bureau's guide says to get legal advice before making any change.

Convenience account

Not the same as a joint account. The Bureau says it does not change who owns the money in the account or give the helper the right to keep the money when the owner dies. [8]

WRITE DOWN Which kind of account the bank says it is. Ask; don't guess from the statement.

Beneficiary

Some accounts and policies have a named beneficiary. AARP suggests making a list of those accounts and checking what each institution has on record. [9]

WRITE DOWN Which accounts and policies name one, who is named, and where you learned it.

Community spouse

The term federal Medicaid policy uses for the husband or wife still living at home while the other spouse is in an institution such as a nursing home. The same policy speaks of the couple's combined resources. [10]

WRITE DOWN If Mom is married, her spouse's income and accounts as well as her own. How they are treated is a question for your Medicaid planner.

Paying for care

Out of pocket (private pay)

Paying for care with a person's own money, which the National Institute on Aging says is also known as personal or out-of-pocket funds. Medicare.gov says most people who enter nursing homes start this way. [12] [6]

WRITE DOWN Which account each care bill is paid from, with the date and the amount.

Medicare

A federal program that provides hospital and medical expense benefits. Its benefits for nursing home and home health services are limited, and it generally doesn't cover long-term care in a nursing home. [5] [6]

WRITE DOWN Your questions about what it has paid toward, for the facility's business office.

Medicaid

A joint federal and state program that helps pay health care costs for people who have limited income and, in some cases, resources, and who meet other requirements. It may have another name in your state. [6] [2]

WRITE DOWN Your questions about it, for your Medicaid planner. This sheet can't tell you whether Mom may qualify.

Basic charge and extra charges

A facility may charge extra for services beyond the basic room, food and housekeeping, although some have all-inclusive fees. [11]

WRITE DOWN The basic charge and each extra line as the bill prints them, and what the business office says each one covers.

Visit (home care)

The block of time in which home health and home care services are provided. Visits are generally more expensive in the evening, on weekends and on holidays. [11]

WRITE DOWN The rate for each kind of visit, as the agency's bill or rate sheet states it.

The paper

Financial snapshot

The roadmap's name for one place that shows income, assets, expenses, insurance and care costs together. It is what this step works toward.

WRITE DOWN For now: what you know, what is still missing, and where each number came from.

Documentation

The paper behind the list. The federal long-term care site says that during the Medicaid application process a person is asked for documentation of what assets she has. [1] [4]

WRITE DOWN Where each statement, policy, deed and tax return is kept. Which ones are needed, and how far back, is for your Medicaid planner to say.

What this sheet doesn't do

It explains words. It doesn't say how any account, policy or property is treated, which rules apply where Mom lives, or whether she may qualify for anything. That's for your Medicaid planner and the other professionals who look at her situation. Nothing here is legal, financial or tax advice.

Ready for the next step?

You can follow the paperwork now. The planning interview asks about the same things in plain language, one question at a time, and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
3. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
4. AARP, 5 Steps to Organize Your Loved One's Financial Records
5. Administration for Community Living (LongTermCare.gov), Glossary
6. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
7. Family Caregiver Alliance, Where to Find My Important Papers
8. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options
9. AARP, Legal Checklist for Caregivers With Aging Parents
10. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
11. Administration for Community Living (LongTermCare.gov), Costs of Care
12. National Institute on Aging (NIH), Paying for Long-Term Care